WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

CAYMAN ISLANDS

Americas

Information current as of November 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
George Town (Grand Cayman)	Capital of this British Overseas Territory and seat of the Premier, Cabinet, Parliament, the Grand Court and the Cayman Islands Monetary Authority (CIMA); hub of the international financial-services industry	Investment funds, insurance, banking, legal and professional services
Cayman funds and financial-services market (island-wide)	Leading domicile for hedge and private funds: 31,145 CIMA-regulated funds at mid-2026, including 18,132 private funds, plus 742 licensed insurers	Fund administration, asset management, captive insurance, tokenised funds
Cayman Enterprise City (special economic zone)	Hosted 444 active companies in 2025, including more than 100 virtual-asset businesses, generating $152.3 million of economic impact	Technology, Web3 and digital assets, commodities, professional services
Seven Mile Beach and the tourism corridor	Core stayover-tourism area; H1 2026 stayover arrivals rose 11.3% to 288,694, with hotel revenue up 17.3%	Hospitality, residential real estate, retail and leisure
George Town harbour (cruise and cargo)	Principal sea gateway for cruise passengers (681,391 in H1 2026, up 6.8%) and for imported goods	Cruise tourism, port logistics, retail
Owen Roberts International Airport	Main air gateway with growing airlift from the US, Canada and the UK; runway or taxiway extension and jetways are planned under the Airports Authority	Aviation, airport infrastructure, tourism services
Cayman Brac and Little Cayman (Sister Islands)	Smaller islands with niche eco- and dive tourism; government capital spending includes $21.4 million in 2026 for schools including Cayman Brac High School	Boutique tourism, construction, community services

INVESTOR ENTRY ROUTES

- Department of Commerce and Investment and the Trade and Business Licensing Board, which issue trade and business licences and Local Companies (Control) Act licences permitting foreign ownership above 40% of locally trading companies for up to 12 years
- Exempted companies, partnerships and funds for business conducted mainly outside the Islands, with no foreign-ownership restrictions and registration through licensed corporate services providers

- Tax-neutral framework with no income, corporate, capital gains, estate or gift taxes; Pillar Two minimum tax has not been adopted, while economic substance, CRS/FATCA and crypto-asset (CARF) reporting rules apply
- Cayman Islands Monetary Authority (CIMA) licensing and registration for funds, banks, insurers, trust companies and virtual-asset service providers, including a tokenised-fund framework introduced in March 2026
- Cayman Enterprise City special economic zone, a dedicated base for technology, digital-asset and knowledge-based businesses, home to 444 active companies in 2025
- Cayman Islands dollar fixed at CI$1 = $1.20 since 1974, with the US dollar widely accepted and no restrictions on foreign purchase of property
- English common-law legal system with a specialist Financial Services Division of the Grand Court and final appeal to the Privy Council in London

MARKET-ENTRY OBSERVATION

The Cayman Islands in October 2026 combines steady growth, strong public finances and one of the world's deepest financial-services ecosystems. Real GDP grew an estimated 2.8% in the first nine months of 2025, led by finance and insurance (+2.2%) and real estate (+3.9%), with full-year growth forecast at 2.9%, while unemployment stood at just 2.6% in late 2025. Momentum has continued into 2026: real GDP grew an estimated 2.4% in the first quarter, stayover arrivals rose 11.3% in the first half to a record 288,694, regulated funds reached 31,145 and the public sector posted a CI$252.3 million surplus in H1 2026, CI$67.3 million ahead of budget, with cash of CI$588.9 million exceeding debt of about CI$479 million. Inflation has been contained at 1.3% for 2025 and 2.8% in Q1 2026, and the fixed CI$1 = $1.20 exchange rate gives investors full dollar predictability.

The Islands' main structural consideration is concentration in two sectors, financial services and tourism, alongside continuing international focus on tax and transparency standards. Cayman has shown it can meet that challenge: it exited the FATF grey list in October 2023 and the EU anti-money-laundering high-risk list in February 2024, maintains a legitimate-interest beneficial ownership access regime, and introduced crypto-asset reporting in January 2026. Diversification is also advancing, with Cayman Enterprise City's 444 companies generating $152.3 million of economic impact in 2025 and new tokenised-fund rules from March 2026 positioning Cayman for digital finance. With public debt targeted at around 8.5% of GDP and a growing, highly employed population of 90,577, the Islands offer a stable base from which investors can access both established and emerging segments.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Evolving international tax and transparency standards	Cayman remains tax-neutral and has not adopted the Pillar Two minimum tax, while global standards on minimum taxation and disclosure continue to develop	Strong compliance record (FATF and EU AML list exits, CRS, CARF, economic substance) supports continued market access; structure with experienced Cayman counsel
Beneficial ownership disclosure	The UK has encouraged fully public registers, while Cayman retains access for those with a legitimate interest, confirmed in regulations passed in March 2026	Maintain accurate registers through licensed corporate services providers; the defined regime gives investors clarity on disclosure obligations
Economic concentration in financial services and tourism	Both pillars are strong but expose the economy to global capital-market and travel cycles	Growth in technology, digital assets and real estate is broadening the base and creating entry points beyond the two core sectors
Foreign-ownership limits for locally trading companies	Businesses serving the domestic market require 60% Caymanian ownership and control unless a licence or waiver is obtained, which takes around three to six months	Use exempted structures for offshore activity, local partnerships for domestic ventures, or apply early for a licence of up to 12 years
Labour and housing pressures	The economy relies on overseas workers (over 37,000 work permits in 2025), while Caymanian unemployment of 4.1% is above the overall 2.6% rate	Plan workforce and training commitments early; affordable housing and skills programmes are a growing area for investment and partnership

Issue	Potential Impact	Possible Mitigation
Hurricane and natural-hazard exposure	The Islands lie in the Atlantic hurricane belt, though Hurricane Melissa and the 2025 offshore earthquakes caused no reported damage	Build resilient design and insurance into projects; Cayman's deep insurance market and strong fiscal buffers support recovery capacity
Cost of doing business on a small island	Imported goods, utilities and labour raise operating costs, with merchandise imports of CI$1.33 billion in the first nine months of 2025	Price premium markets accordingly; high incomes, record tourism and a dollar-linked currency support strong spending power

INVESTOR RISK NOTE

The Cayman Islands' risk profile is that of a mature, well-governed financial centre with sound public finances and a stable currency. As a British Overseas Territory with an English common-law system, final appeal to the Privy Council and a fixed link to the US dollar, it offers a high degree of legal and monetary predictability. Public finances are a clear strength, with an H1 2026 surplus of CI$252.3 million and cash balances exceeding outstanding debt. The principal considerations are external: evolving global tax and transparency standards, the cyclical nature of financial markets and tourism, and exposure to Caribbean weather. Cayman's record of meeting international standards, demonstrated by its exits from the FATF and EU AML lists, and its diversification into technology and digital finance mitigate these factors. Investors should apply standard regulatory due diligence, confirm UK-extended sanctions compliance, and build hurricane resilience and insurance into physical projects.

MARKET ACCESS

As a British Overseas Territory, the Cayman Islands is internally self-governing under its own Constitution and Parliament, with the United Kingdom, represented by the Governor, responsible for defence and foreign affairs. The Islands have been an associate member of CARICOM since 2002, giving a seat at the regional table, and the economy is closely tied to North America: the United States is the largest source of visitors (370,093 stayover arrivals in 2025), while Canadian and UK air links are expanding. The Islands' principal export is financial services, delivered worldwide through funds, insurance and structured vehicles, with Cayman funds holding an estimated $16 trillion of assets under management at end-2024. Direct air links to US gateways, London via Nassau and growing Canadian routes underpin both business travel and tourism.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Premier (André Ebanks, also Minister for Financial Services and Commerce)	Leads the elected government formed in May 2025 and directs financial-services and commerce policy	Primary reference point for the government's economic and financial-services strategy
Governor (Jane Owen)	Represents the UK Crown; the UK retains responsibility for defence and foreign affairs, and UK sanctions are extended to the Islands	Relevant for understanding the UK–Cayman relationship and sanctions framework
Department of Commerce and Investment / Trade and Business Licensing Board	Licenses businesses trading locally and grants foreign-ownership licences and waivers	First point of contact for any domestic-market investment
Cayman Islands Monetary Authority (CIMA)	Regulates funds, banks, insurers, trust companies and virtual-asset providers, and issues the Cayman Islands dollar	Essential counterpart for licensed financial-services activity
Ministry of Finance and Economic Development (Rolston Anglin)	Sets fiscal policy and the 2026–2027 budget, including up to CI$236 million of borrowing for capital projects	Relevant for public infrastructure and fiscal outlook
Ministry of Tourism and Trade Development (Deputy Premier Gary Rutty) and Department of Tourism	Drives tourism strategy, airlift and destination marketing behind record 2026 arrivals	Key partner for hospitality and tourism-linked investment

Actor	Why It Matters	Waverley Engagement Angle
Cayman Enterprise City	Special economic zone hosting 444 technology and knowledge-based companies	Preferred entry route for technology, digital-asset and commodities businesses

CURRENT INTERNATIONAL BUSINESS CHANNELS

Cayman Finance, the industry association for the financial-services sector, works with government on international promotion and policy, while the Cayman Islands Chamber of Commerce represents local businesses. The large community of international law firms, fund administrators, auditors and corporate services providers, including firms such as Maples, Mourant, Harneys and Collas Crill, provides ready access to market intelligence and structuring advice. The Department of Tourism works closely with airlines and hotel partners on airlift and destination marketing. Cayman Enterprise City also acts as a networking hub for technology and digital-asset firms entering the market.

INVESTOR PROFILE BEST SUITED

The Cayman Islands is best suited to asset managers, fund sponsors and institutional investors seeking a tax-neutral, internationally recognised domicile with a common-law framework; insurers and reinsurers using its deep captive and insurance market; and technology, fintech and digital-asset firms drawn by Cayman Enterprise City and the new tokenised-fund framework. Hospitality and real-estate investors can benefit from record stayover tourism, rising hotel revenue and no restrictions on foreign property purchase. Investors targeting the domestic market should plan for local-ownership rules through partnerships or licences, and all should allow for the jurisdiction's high operating costs.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Select the right vehicle and regulatory route
Decide between exempted structures for international business and locally trading companies, and engage CIMA early where funds, insurance, banking or virtual-asset licensing is required.

STEP 2: Engage local counsel and service providers
Appoint an experienced Cayman law firm and licensed corporate services provider to manage registration, beneficial ownership, economic substance and reporting obligations.

STEP 3: Secure local-market licences where needed
Apply to the Trade and Business Licensing Board for trade and business and foreign-ownership licences, allowing three to six months for approval, or structure with Caymanian partners.

STEP 4: Assess Cayman Enterprise City for technology and digital-asset entry
Consider the special economic zone, home to more than 100 virtual-asset businesses, as a base for technology, Web3 and knowledge-based operations.

STEP 5: Build resilience into tourism and real-estate projects
Work with the Department of Tourism on demand and airlift trends, and incorporate hurricane-resilient design and insurance into physical investments.